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Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

Final Examination

Group No. 1 Paper No. 3

Subject Audit

Number of Answer Books used : Main + 6 additional sheets

Date Seal

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06 MAY 2025

Paper Code: A M F 1

MCQ Booklet Serial No. 5222913

Paper No. 3

Level of Exam: Final

Foundation (1) Intermediate (2) Final

MCQ Answers

1	A	C	D	11	B	C	D	21	A B C D
2	B	C	D	12	A	C	D	22	A B C D
3	A	B	C	13	A	B	C	23	A B C D
4	A	B	C	14	A	B	D	24	A B C D
5	B	C	D	15	B	C	D	25	A B C D
6	A	C	D	16	A	B	C	D	26	A B C D
7	A	B	D	17	A	B	C	D	27	A B C D
8	A	B	C	18	A	B	C	D	28	A B C D
9	A	C	D	19	A	B	C	D	29	A B C D
10	A	B	D	20	A	B	C	D	30	A B C D

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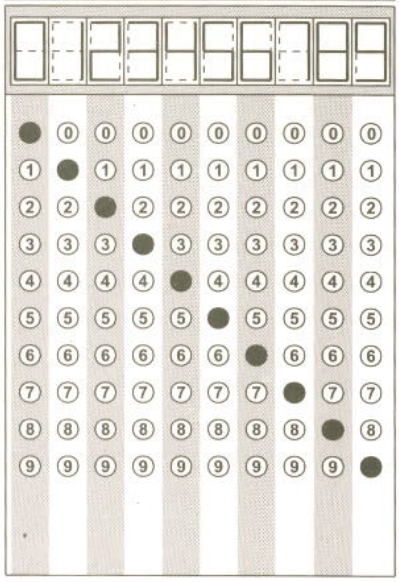
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7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers



Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1	✓	8	
2		9	
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Answer - 5 (a)

Q.5.
a.

As per SIA 370 'Reporting Results' Following are the stages of internal audit reporting results:-

(i) An "internal audit report" for each area reported under the internal audit function.
Such report shall be for each ~~sp~~ seperate area or unit for which internal control is conducted highlighting the key findings of the internal audit.

It involves description of the matter audited and detailed findings obtain as a result.

Such report is submitted to the auditee and copies shared with local & executive management concerned with unit or area.

(ii) A Periodic Audit report covering various audit areas reported for the entity for a specific period.

This is generally prepared for each quarter and submitted to the highest governing authority, generally Audit Committee.

This report also includes certain matters already reported under the abovementioned "internal audit period".

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The key elements to be included while issuing clear and well documented Internal Audit Report includes:-

(i) Scope and objective of the internal audit.

(ii) Summary of key procedures undertaken.

(iii) Summary of key findings obtained on application of the procedure.

(iv) Period covered by the internal audit reported.

(v) Nature of assurance if any provided by the internal auditor.

Answer - 5(b)

Q.5.
b.

This relates to Principle [8]

Collective Growth and equitable development

The core elements of this principle are as follows:-

(i) Continuously monitor and identify the impacts of the organization's activities on cultural, social and economic aspects of people and society.

(ii) Track, monitor and analyze the adverse impacts of entity's business activities on the marginalized communities.

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(iii) Adverse impacts such as household and land acquisitions and displacement should be avoided; however in unavoidable circumstances, care should be taken to ensure fair compensation is paid through equitable negotiation process.

(iv) Entities should create new & creative products, services and organizations for the marginalized communities. Aim should be be provide aid and work towards upliftment of vulnerable groups.

(v) Entity should respect intellectual property and traditional knowledge, profit and gain earned from such knowledge should be equitably shared.

(vi) While designing CSR activities, needs for local and regional development of marginalized communities should be considered.

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Answer-5(c)

Q.5.

c.

As per Clause [9] Part [1] of Second Schedule to the Chartered Accountants Act, 1949, a Chartered Accountant in Practice shall be deemed to be guilty of professional misconduct if he

fails to disclose non-adherance or departure from generally accepted procedures of audit in the circumstances.

~~A Cha~~

A Chartered Accountant is under duty to adhere and confirm with the generally accepted auditing procedures as contained in various sources like Standards on Auditing, various pronouncements, guidelines issued by ICAI, etc.

If he fails to adhere, he shall make specific disclosure of the same in its audit report.

In audit of financial statements of listed entities, chartered accountant or firm of chartered accountants appointed as auditors, should obtain a peer review certificate.

Absence of the same shall result in non-compliance of generally accepted auditing procedures.

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In instant case, M/s GSTR & Associates undertood audit of Ruby Limited, a listed company without subjecting themselves to peer review process of ICAI i.e., without a valid peer review Certificate.

Further, it did not disclose such non-compliance in its audit report.

Thus, CA Y, engagement partner shall be deemed to be guilty of professional misconduct.

Answer- 4(a)

Q.4.
a.

Instant Finance Ltd is a NBFC-BL entity, the primary business of which involves lending against gold jewellery as it comprises 60% i.e. more than 50% of its financial assets.

Thus, Tier 1 capital limit ~~for~~ Instant Finance Ltd shall be 12%.

For NBFC under Base Layer, Tier 1 capital does not include perpetual debt instruments issued by the NBFC.

Thus, amount of ₹ 15 crores is to be excluded ~~for~~ from Tier 1 capital.

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Further, investments in shares and bonds of other NBFCs and subsidiary and group companies ~~should be excluded from owned funds prov~~

in excess of 10% of owned funds should be deducted from owned funds while arriving at Tier I Capital.

∴ Owned Fund = $\frac{10 \text{ crore}}{12\%}$

= ₹ 83.33 crore

Investments in shares and bonds of NBFCs exceeding 10% =

10 − (83.33 × 10%) = ₹ 1.67 crores.

∴ Owned Fund for Tier I Capital

= 83.33 − 1.67

≈ ₹ 81.66 crore (approx.)

For NBFC-BL, Tier 1 Capital includes only Owned fund as computed above.

∴ Tier 1 Capital = ₹81.66 crores.

Tier 1 Capital (%) = $\frac{\text{81.66 crore}}{\text{Risk Weight Asset i.e. ₹1000 crore}}$

= 8.166%.

RBI Requirement = 12%

Thus, Instant Finance ltd does not comply with Tier 1 Capital Requirement.

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Alternatively,

if we compute Tier I Capital using reported figure of ₹ 130 crore.

Reported figure	₹ 130 crore
(-) Perpetual Debt Instruments	(₹ 15 crore)
(-) Investment in NBFCs in excess of 10% of owned funds.	(₹ 1.67 crore)
	₹ 113.33 crore

$$\text{Tier I Capital} = \frac{113.33}{1000}$$

$$= 11.333\% \text{ (approx)}$$

∴ Instant Finance Ltd does not comply with Tier I Capital requirement.

Answer-4(b)

Q.4.
b.

As per Clause 2 of Part 1 of First Schedule to the Chartered Accountants Act, 1949, a Chartered Accountant in practice shall be deemed to be guilty of professional misconduct if he:-

~~shares or agrees to share, agree allows or agrees to allow any share, fee and brokerage and or commission received~~

allows or agrees to allow shares or agrees to share, any share, brokerage or commission with any person other than a member of the Institute ~~this~~ ~~p~~ in practise, his partner, or retired partner or legal heir of deceased partner or any person

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having such qualifications as may be prescribed or having membership of such professional body as may be prescribed by the Council from profit, fee or remuneration of his professional business within India or outside India.

As per the Regulations issued in this regard, prescribed qualifications include inter alia, Master in Business Administration from any recognised Univerisity in India.

Further, as per the clarifications issued, member may share a part of his professional fee to cover administrative expenses as prescribed by regulatory authority.

In the instant case, CA A shared a commission of 2.5% with Mr.X, an MBA from local university. ~~as~~ Further it deposited 5% of the audit fee into State Treasury to cover administrative expenses.

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Thus, assuming that Mr. X is an MBA from local university which is recognised by any law, CA A has not violated any provision of the Act.

Hence, he shall be deemed not guilty.

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Answer - 4(c)

Q.4.

c. (i)

As per SAE 2400, "Engagements to Review Historical Financial Statements" CA Kishore shall include the following phrase in the conclusion paragraph:-

a) For Fair presentation framework:-

"Based on the evidence gathered and procedures performed by us, except for the matters included in the basis for qualified conclusion paragraph of our report, nothing has come to our attention that causes us to believe that the financial statements do not give a true and fair view (or do not present fairly, in all material respects) of the state of affairs and profit or loss of the company in accordance with the applicable financial reporting framework.

b) For Compliance framework :-

Based on evidence gathered and procedures performed, except for matter disclosed is basis for qualified conclusion paragraph of our report, nothing has come to our attention that causes us to believe that financial statement are not prepared on basis of applicable financial reporting framework.

(ii) Matters to be included in basis for qualified conclusion paragraph :-

As CA Kishore has identified material misstatements of quantitative nature, he shall include amount of misstatement and ~~effe~~ financial effect of such misstatement along with its nature and brief description.

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Answer - 3 (c)

Q.3.
c.

As per SRS 4410 "Compilation Engagement" as compilation engagements do not provide any kind of assurance, ethical requirements do not include independence.

However, financial reporting framework or statute may require practitioner to disclose the independence status.

Further, following points should be included in management responsibilities. Management should be responsible for :-

(i) Design, implementation and maintenance of internal control as it may deem appropriate to ensure that financial statement do not include material mistatement whether caused by error or fraud.

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(ii) Accuracy and completeness of information, records and documents ~~by~~ that is used to compile the financial information

(iii) Judgements made as a part of compilation engagement, including those for ~~#~~ which practitioner has assisted the management.

(iv) financial information and its preparation and presentation in accordance with applicable financial reporting framework as may be appropriate for the intended use and intended users.

Answer - 3 (b)

Q.3.

b.

As per Council General Guidelines, 2008, a chartered accountant or firm of chartered accountants should not accept more than specified number of tax audit assignments under section 44AB of the Income Tax Act, 1961.

In computing the specified number for the firm of chartered accountants, tax audit assignments undertaken by partner in individual capacity shall be also be considered.

Further, specified number of tax audit assignments for a firm is 60 audit assign-ments per partner.

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Partners can sign these tax audit assignments collectively or ~~togeth~~ any partner can sign all tax audit assignments within specified number.

Further, tax audit assignments for both corporate and non-corporate clients shall be considered.

However audit assignments under section 44AD/ADA should be excluded while arriving at such number.

In light of above, M/S JAZZ & Co. can accept 120 (60×2) tax audit assignments u/s 44AB of Income Tax Act, 1961 of both corporates and non-corporates. Assignments undertaken by CAs in individual capacity should also be considered.

Thus, firm is currently providing 105 tax audit assignments.
(30 + 60 + 5 + 10 +) ~~4 + 9~~

Aggregating with 13 (4+9) provided by CA 2 individually this turns out to be 118.

Hence,
Firm can accept only [2] tax audit assingments u/s 44AB

Also, it can accept all [4] tax audit assignments u/s 44AD.

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Answer - 3(a)

Q.3.

a. Under clause (iii) of Companies (Auditor's Report) Order, 2020, ~~auditor~~ where company has ~~or~~ made any investments, or provided any guarantees or security or provided any loans or advances in nature of loans to any person, entity, firm, LLP, partnership, company or body ~~&~~ corporate auditor shall ~~&~~ report as follows :-
inter alia,

(a) (i) whether any loans have provided or guarantees issued or investments made in entities which are subsidiaries, associates and joint ventures
if so amount and nature is to be disclosed

(ii) whether any loans are provided or guarantees issued or investments made in entities ~~which~~ ~~or~~

3818322-01

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other than subsidiaries, associates and joint ventures.

if so amount and nature to be disclosed.

(b) whether loans provided, guarantees issued or investments made are prejudicial to the interests of the company.

(d) Where any loans ~~pr~~ or advances provided are overdue for more than 90 days, if yes whether appropriate actions have been taken for recovery.

(e) Whether any loans provided and due within specified period have been renewed or further loans provided upon maturity without repayment of the due amount, if so total amount of such loan, percentage of total loans issued during the period.

In light of above following are the reporting requirements under CARO 2020:-

(i) Loans provided to subsidiaries, associates and joint ventures
₹15 crore - ₹10 crore to Subsidiary A, ₹5 crore to subsidiary B.

Amount outstanding:-
₹6 crore Subsidiary A
Nil Subsidiary B.

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(ii) Loans provided to other entities

₹ 3 crore to UR & Co.

(iii) Guarantees provided to Milestone LLP for ₹ 7 crore loan.

(iv) ₹ 4 crore equity investment in KD start-up.

(v) For loan provided to ~~Milestone LLP~~, UR & Co, ₹ 1.5 crore overdue for more than 90 days and legal proceedings initiated.

(vi) For loan to Subsidiary A of ₹2crore, renewed on maturity, amount i.e. ₹ 2 crore percentage of total loans i.e. 11.11%. (2crore / 18 crore)

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Contention of management of Brown Enterprises that reporting is not applicable for loans to UR & Co. and Subsidiary A is not tenable in light of above requirements.

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Answer- 1(a)

Q.1.

a. As per SA 720 'Auditor's Responsibilities related to Other Information' auditor shall include the following matters in the 'Other Information' section of auditor's report:-

(i) Identify the other information:-
   a) provided to the auditor before the auditor's report.
   b) in case of listed entities, information ~~included in the~~ expected to be included in other information but not yet provided to the auditor.

(ii) State that management is responsible for preparation of other information.

(iii) A statement that 'other information' is not covered by the auditor's opinion and thus, auditor does not (or will not) provide any assurance on the other information.

(iv) Auditor's responsibilities under SA 720 are limited to read and consider the other information.

(v) If any material misstatements are ~~included~~ contained in other information provided before the date of auditor's report, nature of such misstatement and brief description shall be included, provided the management does not correct the identified misstatement.

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In the light of above requirements, if management does not correct identified misstatement in MD&A even after brought to their attention, ST & Co. shall report as follows:-

It shall state that other information provided to auditor contains a material misstatement as company's claim of achieving 20% reduction in production costs is inconsistent with audit evidence.

Auditor should report the nature of misstatement. ~~and it~~

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Answer- 1 (b)

Q.1.

b. (i)

As per SA 240 and SA 330 auditor shall design and perform following procedures when responding to assessed risk of material misstatement due to fraud at financial statement level:

a) incorporating an element of unpredictability when determining audit procedures.

b) Using more experienced team members and staff when ~~giving re~~ determining responsibilities for identification and assessment of risk of material misstatement

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c) Laying special emphasis on professional skepticism throughout the audit.

(ii)

In determining responses at the assertion level auditor shall :-

a) consider ~~revenu~~ material misstatement in revenue recognition as a significant risk in audit and deploy greater auditor attention and resources.

b)

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Answer- 1 (c)

Q.1.

c.

As per SAE 3420, Engagements to Review "Compilation of Pro Forma Financial Information included in Prospectus"

following aspects should be considered during planning and performing the Engagement:-

- Where the source of unadjusted financial information includes unaudited financial statements of acquiree in business combination, determine whether appropriate procedures are conducted to determine reliability of source.

- Further ~~Au~~ practitioner should undertake relevant procedure to obtain the understanding of the acquiree.

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- Where applicable financial reporting framework or accounting policies and procedures of the source differ from entity's accounting policies or financial reporting framework, appropriate procedures should be undertaken on adjustments made to present the information on a consistent basis.

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(ii) Pro forma adjustments include following adjustments made to unadjusted financial information.

(a) Adjustments made to unadjusted financial information to illustrate the impact of event or transaction as if the event had occurred or transaction had been undertaken at an earlier date for the purpose of the illustration.

(b) Adjustments to unadjusted financial information to make them consistent with the accounting policies as disclosed in the latest financial statements of the entity.

Answer- 6(c)

Q.6.
c.

As per Clause [4] of Part [1] of Second Schedule, of Charterted Accountants Act, 1949 a Chartered Accountant in practice shall be deemed to be guilty of professional misconduct if he

conducts examination of records of an entity in which he, his firm or partner in his firm has substantial interest.

Further, as per the provisions of the Companies Act, 2013, disqualifications of auditor include being a director or officer or employee of the company.

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Further, as per the guidance provided by ICAI, independence requirements should be consider from a wider perspective and construed in a stricter sense.

Decisions regarding independence shall be taken conscietously considering all facts ~~of~~ and circumstances of the case.

In light of above, auditor of subsidiary shall not be allowed to act as director of the parent company.

CA Devi, is partner of M/s Vani & Co, conducting audit of Ring Ltd, subsidiary of Pearl Ltd.

CEO of Pearl Ltd has offered her to become director of Pearl Ltd.

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In light of above, CA Devi should not accept such offer.

as such offer shall be violative of provisions of independence and chartered Accountant Act. under Clause 4 of part 1 to Second Schedule.

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Answer - 6(b)

Q.6.
b.

(i) As per Banking Regulation Act, 1949
banking company shall not hold any premises for more than 7 years unless it is held for own use of the bank.

Thus, auditor should ensure that such commercial property acquired in satisfaction of loan default is not held for more 7 years.

(ii)

The property should be disclosed under the general heading of "Premises" in the assets side of the balance sheet.

further, legal dispute should be disclosed under "Contingent liabilities"

(iii) Other audit procedures :-

(a) Auditor should ensure that property is recorded at lower of net book of loan and net realizable value of property

(b) Procedures should be undertaken to examine whether ownership of property has been transferred to the bank. Title deeds need

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to be examined.

(c) In case, legal disputes have emerged, over ownership property, evaluate whether disclosure or provision is required to be made.

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Answer- 6(a)

Q.6.

a. As per SA 402 auditor shall undertake following procedures if it plans to use Type 1 or Type 2 report as audit evidence:-

(i) Auditor shall determine whether type 1 or type 2 report shall be sufficient and appropriate for its purposes taking into consideration the time period of the report.

(ii) Type 1 report contains assurance on description of system and design of controls.

Type 2 report contains assurance on description of system, design and implementation of controls.

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Using Type 1 report for implementation of controls will be inappropriate.

(iii) Period elapsed since the date of Type 1 or Type 2 report.

(iv)

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